

Daily Payments & Fintech Intelligence Brief

May 6, 2026

1. TOP PAYMENTS HEADLINES

1. FCA Payment Safeguarding Rules Enter Force — New Obligations Live for Payment and E-Money Firms

What happened:

As of May 7, 2026, the FCA's revamped safeguarding regime (Policy Statement PS25/12) is now in full effect for all UK-regulated payment institutions and e-money firms. The rules introduce daily reconciliation of safeguarded funds, mandatory annual safeguarding audits by qualified auditors (with results submitted to the FCA), and monthly regulatory returns confirming safeguarding practices. Firms must also maintain comprehensive resolution packs to enable prompt fund return in insolvency scenarios. An exemption from the audit requirement applies only where a firm has not safeguarded more than £100,000 at any point in a 53-week period.

Why it matters:

- This is a major operational uplift for mid-tier and challenger payment firms — daily reconciliation and audit mandates require significant process and technology investment.
- The resolution pack requirement signals the FCA is pre-positioning for orderly wind-down of payment firms — a direct response to high-profile firm failures in prior years.
- Monthly returns create a new ongoing supervisory data flow; non-compliance will now be detectable quickly, raising the stakes for firms with weak safeguarding governance.
- EMLs and PIs operating in UK with multiple currencies or complex client money structures face the highest compliance burden — outsourced compliance and RegTech tooling demand will rise sharply in H2 2026.

Regulation / Fraud-Risk

New today

Region: United Kingdom

Players: FCA, UK payment institutions, e-money institutions, auditors, RegTech providers

2. Federal Reserve Cross-Border FedNow Proposal: Comment Window Open Until June 9

What happened:

The Federal Reserve's April 8, 2026 proposal to amend Regulation J Subpart C remains open for public comment until June 9, 2026. The proposal would allow FedNow participants to designate non-Reserve Bank intermediaries — including non-U.S. correspondent banks — to process the international leg of cross-border instant payments. FedNow now counts over 1,700 participating institutions, surpassing TCH RTP's ~1,200. Separately, TCH's RTP network is preparing domestic-correspondent bank activity for September 2026 as a precursor to cross-border expansion, while FedNow volume hit \$5.2 billion in a single day in recent testing.

Why it matters:

- The June 9 comment period is the critical window for banks and PSPs to shape the intermediary framework — designations will define who controls cross-border FedNow flow routing and economics.
- FedNow's institution count now exceeds RTP, signalling it is becoming the primary instant rail for smaller U.S. institutions — cross-border capability amplifies this structural advantage.
- TCH RTP's September 2026 domestic-correspondent launch and FedNow's cross-border ambition together signal U.S. instant rails will serve international flows within 18 months — compressing SWIFT/card incumbent advantages in USD corridors.
- For PSPs serving inbound USD remittance corridors (Asia, MENA, Latin America), the cost and speed implications of a Fed-backed instant cross-border rail are strategically significant.

Cross-Border / RTP /
Infrastructure

Follow-up with material
update

Region: United States /
Global

Players: Federal Reserve, The Clearing House, U.S. banks,
correspondent banks, cross-border PSPs

3. UK Government Confirms PSR Abolition — Payment Systems Oversight Consolidates into FCA by End-2026

What happened:

The UK government has confirmed, following its September 2025 consultation, that the Payment Systems Regulator (PSR) will be abolished and its functions transferred to the Financial Conduct Authority (FCA). Legislation is targeted for completion by end-2026. The FCA will absorb the PSR's mandate to promote competition and innovation in payment systems, protect consumers, and oversee access and pricing in designated payment systems. Respondents broadly welcomed the consolidation as reducing regulatory duplication and streamlining engagement.

Why it matters:

- A single UK payments regulator significantly reduces compliance overhead for firms currently maintaining dual FCA/PSR engagement — but raises questions about whether PSR's sharper competition focus will be diluted inside a larger prudential body.
- Card scheme and interbank pricing oversight (historically a PSR focus) must now be maintained within the FCA — watch for how the FCA structures a dedicated payments competition function post-merger.
- Open banking commercial model development (cVRP, UKPI) was under PSR/FCA joint oversight — merger may accelerate FCA-led open banking regulatory framing.
- International firms and payment systems operators will need to update regulatory engagement frameworks as the PSR's separate identity and decision processes cease to exist.

Regulation / Market
Structure

Escalation — consolidation
confirmed

Region: United Kingdom

Players: UK HM Treasury, FCA, PSR, payment system
operators, banks, fintechs

4. US Senate CLARITY Act Stablecoin Yield Compromise — Legislation Advancing Toward Markup

What happened:

Senators Tillis and Alsbrooks released a formal CLARITY Act compromise text on stablecoin yield rules, clearing a key Senate Banking Committee obstacle. The compromise prohibits stablecoin yield that is the functional or economic equivalent of bank deposit interest, but explicitly permits yield from 'bona fide activities' such as staking rewards and protocol distributions. Coinbase and Circle immediately endorsed the deal and are pushing the committee toward a markup vote. The bill treats stablecoins as payment instruments requiring full reserve backing, licensed issuers, and guaranteed redemption rights.

Why it matters:

- If passed, this would be the first comprehensive U.S. federal stablecoin law — transforming stablecoins from a de-facto grey zone into a regulated payment instrument with defined capital, reserve, and redemption requirements.
- The yield compromise draws a clear line between payment stablecoins and deposit-taking — protecting banks' regulatory moat while legitimising protocol-native yield, a key crypto industry demand.
- Circle (USDC) and other reserve-backed stablecoin issuers stand to benefit most from a clear federal licensing path — reducing state-by-state patchwork risk.
- For PSPs and banks building stablecoin payment rails, a federal licensing framework will crystallise the product compliance architecture required for B2B and cross-border stablecoin settlement at scale.

Stablecoins / Regulation

Escalation — bill advancing to markup

Region: United States

Players: US Senate Banking Committee, Coinbase, Circle, stablecoin issuers, banks, federal regulators

5. CFPB Section 1033 Open Banking Goes Live: Large Bank Compliance Deadline Passed in April 2026

What happened:

The Consumer Financial Protection Bureau's Section 1033 open banking rule (finalized October 2024) reached its first compliance milestone in April 2026, with the largest U.S. depository institutions required to enable standardized, machine-readable data sharing with consumer-authorized third parties at no charge. Covered data includes transaction histories, account balances, and payment terms. Smaller institutions follow on a staggered timeline through April 2030. This is the first mandatory open banking standard in the United States.

Why it matters:

- The U.S. open banking era is now formally underway — A2A payment overlays, personal finance aggregators, and account-switching services can now access standardized data from major U.S. banks as a legal right, not a commercial negotiation.
- Pay-by-bank (A2A) use cases will accelerate as data access costs drop and account verification becomes standardized — directly pressuring card network transaction volumes in use cases such as bill pay, e-commerce, and P2P.
- For PSPs building data-powered payment products in the U.S., Section 1033 lowers the marginal cost of bank connectivity — favouring infrastructure players who can aggregate and act on this data at scale.
- Risk: CFPB enforcement posture under the current administration remains uncertain — implementation quality and early enforcement priority are worth monitoring closely.

Open Finance / Regulation / RTP

Escalation — compliance deadline passed

Region: United States

Players: CFPB, major U.S. banks, data aggregators, fintech PSPs, A2A payment providers

2. MAJOR FINTECH HEADLINES

1. Ebury Raises £550 Million — Santander Backs Cross-Border Payments Scale-Up

What happened:

Ebury, the international payments and FX fintech majority-owned by Santander, closed a ~£550 million funding round led by Centerbridge Partners, with participation from Santander (£50 million), Vitruvian Partners, and 83North. Santander's stake decreases from 66% to 55% as part of the structure. Ebury operates in 30 regulated markets, processes payments in 140+ currencies across 160 countries, and has grown revenues at 30%+ per annum since Santander's 2020 investment. Proceeds target product development, geographic expansion, and AI-powered payment processing and FX optimization.

Why it matters to fintech / payments:

This is the largest cross-border payments fintech raise of 2026 to date. The Santander-Centerbridge structure signals institutional confidence in SME-focused cross-border payment infrastructure at a time when FedNow and SWIFT ISO 20022 evolution are reshaping corridor economics. Ebury's geographic scale (160 countries, 140+ currencies) gives it a structural moat in the SME cross-border segment that pure-play RTP infrastructure plays cannot easily replicate. The AI capability focus is directionally aligned with where cross-border payment differentiation is moving: FX pricing intelligence, compliance automation, and payment routing optimization.

Strategic relevance:

Ebury's raise confirms that cross-border payment infrastructure targeting SMEs remains a high-conviction institutional investment category in 2026, even as macro headwinds affect broader fintech funding.

2. AML Enforcement Enters Real-Time Era: FINTRAC Fines VersaBank; Regulators Signal Escalating Scrutiny

What happened:

FINTRAC fined VersaBank CA\$42,075 on May 5, 2026 for AML/CTF policy failures and inadequate high-risk client controls — one of several enforcement actions as regulators globally transition from rule-setting to active enforcement. U.S. bank regulators (FDIC, NCUA, OCC) and FinCEN are advancing coordinated AML rulemaking requiring continuous, risk-driven monitoring aligned with product, customer, and geography exposure. The EU Instant Payments Regulation has accelerated real-time AML monitoring mandates across eurozone PSPs.

Why it matters to fintech / payments:

The convergence of instant payment rails and rising enforcement intensity creates a structural risk for PSPs: you cannot pause a real-time payment for manual review. This is driving urgent investment in AI-powered, inline transaction monitoring capable of microsecond risk scoring. For payments product leaders, AML and fraud controls must now be first-class product components — not compliance overlays — designed into the payment flow architecture from inception.

Strategic relevance:

Real-time compliance is becoming a payment product differentiator: PSPs with embedded, instant AML/fraud scoring will outperform those running batch or post-transaction controls as enforcement risk and instant payment volumes grow.

3. UK cVRP Phase 1 Live: Commercial Variable Recurring Payments Begin Reshaping A2A Landscape

What happened:

Commercial Variable Recurring Payments (cVRP) went live in the UK under the first-phase commercial model agreed by the FCA and industry in early 2026, with live payments under the UK Payment Innovation (UKPI) scheme beginning in Q1 2026. VRPs now account for 16% of UK open banking transactions, driven primarily by sweeping VRPs to date. Commercial cVRP extends this model to broader merchant use cases including subscriptions, utilities, and variable billing. The FCA will assess phase 1 growth by end-2026 to inform a long-term regulatory framework.

Why it matters to fintech / payments:

cVRP is the mechanism that transforms open banking from a data-access layer into a full-cycle payments rail capable of displacing card-on-file and direct debit for recurring merchant payment use cases. The commercial model launch removes the last structural barrier to mainstream merchant adoption in the UK. Combined with Amazon and eBay enabling Pay-by-Bank for UK consumers, A2A is crossing from early-adopter to mainstream payment infrastructure in the UK market.

Strategic relevance:

UK cVRP's commercial launch marks the tipping point for A2A recurring payment viability — PSPs and merchants should accelerate integration planning given the FCA's intent to build a long-term regulatory framework from Q4 2026 observations.

3. WHAT MATTERS MOST

■ Real-time rails are going cross-border — and the window to shape the framework is narrow.

Both FedNow (proposed rule, June 9 comment close) and TCH RTP (September 2026 domestic-correspondent launch) are on parallel tracks toward international capability. These are not distant roadmap items — they are active regulatory and operational developments with hard timelines. PSPs and banks in major cross-border corridors must treat them as a near-term strategic priority, not a future-watch item.

■ Regulatory structure in major markets is being redrawn — simultaneously.

UK is merging its payments regulator into the FCA (end-2026). The U.S. is on the verge of passing its first stablecoin law. The U.S. also activated its first mandatory open banking standard this week. These are structural changes, not incremental rule updates — they redefine who regulates what, what is legal, and what is required across three of the world's most important payments markets.

■ Open finance is crossing from optionality to obligation — A2A product strategy must accelerate.

UK cVRP commercial model is live. U.S. Section 1033 large-bank deadline has passed. Europe's Instant Payments Regulation is driving VoP and A2A infrastructure across the eurozone. The account-to-account payment model is no longer a niche alternative — it is becoming regulated, mandated payment infrastructure in the world's largest consumer markets. Product teams still treating A2A as exploratory are now behind the regulatory curve.

4. IMPLICATIONS FOR A PAYMENTS PRODUCT LEADER

1. If your firm operates in the UK — FCA safeguarding compliance is not optional from today.

Daily reconciliation, annual audit, and monthly FCA returns are now legally required for UK PIs and EMIs. The resolution pack requirement is particularly demanding for firms with complex multi-currency client money structures. Treat this as an immediate operational gap-close priority, not a future roadmap item. The FCA's enhanced supervisory data flow from monthly returns means deficiencies will be visible to the regulator in near-real time.

2. File comments or watch the FedNow cross-border comment period (closes June 9).

The shape of the designated intermediary framework will define who controls USD cross-border routing economics for the next decade. If your firm processes USD cross-border flows or services remittance corridors involving the U.S., monitor submissions from large U.S. correspondent banks closely — they will signal competitive positioning before the rule is finalized. A formal submission from your organization could influence the intermediary eligibility criteria.

3. Accelerate A2A product strategy — open banking is moving from opt-in to mandatory infrastructure.

With U.S. Section 1033 live, UK cVRP commercial model launched, and EU Instant Payments Regulation driving VoP adoption, 2026 is the year the A2A competitive threat to card-on-file and direct debit becomes structural rather than hypothetical. Product leaders should be actively scoping use-case-specific A2A product roadmaps (subscriptions, payouts, bill pay) and assessing where their current card/ACH/SEPA flows are most at risk of displacement.

5. OPTIONAL WATCHLIST — Watch Next

● TCH RTP domestic-correspondent bank activity — September 2026 launch.

The Clearing House's September 2026 target for domestic-correspondent activity on the RTP network is the operational bridge toward full cross-border RTP capability. Watch for TCH–EBA Clearing–SWIFT joint announcement on the legal/administrative framework for trans-Atlantic RTP linkage — the operational feasibility study is complete; the legal structure is the remaining gating item.

● UK PSR/FCA merger legislation — end-2026 target.

The legislative vehicle to formally dissolve the PSR board and transfer its functions to the FCA is expected before end-2026. Watch for clarity on how FCA will structure its dedicated payments competition function, and whether PSR's card scheme interchange and access pricing oversight will be maintained with equivalent rigour or deprioritized within the broader FCA mandate.

● SWIFT structured address hard deadline — November 2026.

After November 2026, only structured or hybrid postal addresses will be accepted in SWIFT cross-border payment messages. Institutions that have not completed data remediation and client outreach programs are now at risk of payment rejection at scale. Watch for SWIFT's compliance monitoring reports and early rejection statistics as November approaches — these will be leading indicators of systemic industry readiness.

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